ACADEMIC CENTRAL

PRACTICE EXAMINATION

GRADE 7

ECONOMIC AND MANAGEMENT SCIENCES

PRACTICE EXAM 1

MARKS: 100 **TIME: 2 hours**

Covers the Grade 7 year: the economy (history of money, needs and wants, goods and services, inequality and poverty), financial literacy (income and expenses, household budgets, savings) and entrepreneurship (entrepreneurs, Entrepreneur's Day, factors of production).

Written by Academic Central for practice, following the CAPS curriculum for Grade 7. It is not a Department of Basic Education examination paper.

INSTRUCTIONS AND INFORMATION

1. This question paper consists of FOUR sections: SECTION A (20), SECTION B: The economy (25), SECTION C: Financial literacy (30) and SECTION D: Entrepreneurship (25).
2. Answer ALL the questions.
3. Number your answers exactly as the questions are numbered.
4. Show ALL calculations. A non-programmable calculator may be used.
5. Write neatly and legibly.

SECTION A

QUESTION 1: MULTIPLE CHOICE

Choose the correct answer. Write only the letter (A–D) next to the question number, e.g. 1.11 B.

1.1 Exchanging goods for other goods without using money is called …

A buying. B barter. C credit. D banking.

1.2 Which of the following is a need?

A Cell phone B Shelter C Sweets D Video games

1.3 A haircut at a salon is an example of a …

A good. B service. C need. D natural resource.

1.4 The money that a household earns is called …

A expenses. B income. C a budget. D savings.

1.5 A plan that shows how money will be earned and spent over a period of time is a …

A budget. B receipt. C loan. D profit.

1.6 Rent that stays the same every month is an example of a …

A fixed expense. B variable expense.
C source of income. D saving.

1.7 A person who starts a business and takes a risk to make a profit is called an …

A employee. B consumer. C entrepreneur. D official.

1.8 Which of the following is a natural resource?

A Water B Tractor C Worker D Manager

1.9 Money kept in a bank account that earns interest is called …

A a loan. B savings. C debt. D tax.

1.10 Market research is done mainly to …

A find out what customers want. B pay the workers.
C calculate tax. D print money.

(10)

QUESTION 2: CONCEPTS

Give ONE word or term for each description. Write only the term next to the question number.

2.1 Things we cannot live without, such as food and water

2.2 Things that are nice to have but that we can live without

2.3 Products that can be seen and touched, such as bread

2.4 Money that is spent on goods and services

2.5 The money a bank pays you for keeping your savings with it

2.6 The amount left over when income is more than expenses

2.7 The shortage when expenses are more than income

2.8 Coins and banknotes

2.9 People who buy goods and services for their own use

2.10 The amount left when all costs are subtracted from sales income

(10)

TOTAL SECTION A: [20]

SECTION B: THE ECONOMY

QUESTION 3

3.1 The history of money

3.1.1 Explain what is meant by *barter*. (2)

3.1.2 Give TWO problems that people had with barter. (2)

3.1.3 Give TWO examples of items that were used as early forms of money in Africa. (2)

3.1.4 Name TWO functions of money. (2)

3.2 Today many people pay electronically. (a) Name TWO ways of paying electronically. (b) Give ONE risk of electronic banking. (3)

3.3 Needs and wants

3.3.1 Classify each item as a need or a want: (a) school shoes; (b) a designer cap; (c) medicine. (3)

3.3.2 Explain why households must make choices about what to buy. (2)

3.4 Inequality and poverty

3.4.1 Give TWO causes of poverty in South Africa. (2)

3.4.2 Name TWO ways in which the government helps poor households. (2)

3.4.3 Give TWO effects that poverty can have on a learner's schoolwork. (2)

3.5 (a) Give ONE example of a good and ONE example of a service that you used this week. (b) Who provides public services such as clinics and police stations? (3)

[25]

SECTION C: FINANCIAL LITERACY

QUESTION 4

4.1 Study the monthly budget of the Ndlovu family and answer the questions.

INCOME		**EXPENSES**	
Mr Ndlovu's salary	R9 500	Rent	R4 000
Mrs Ndlovu's part-time work	R3 800	Food	R3 500
Child support grant	R560	Transport	R1 600
		Electricity	R900
		School fees	R450
		Clothing account	R700
		Cell phone contracts	R550
		Savings	R1 000

4.1.1 Calculate the total monthly income. (2)

4.1.2 Calculate the total monthly expenses. (2)

4.1.3 Does the family have a surplus or a deficit? Calculate the amount. (2)

4.1.4 Identify TWO fixed expenses in the budget. (2)

4.1.5 Identify TWO variable expenses in the budget. (2)

4.1.6 The price of electricity goes up by 10%. Calculate the new amount for electricity. (2)

4.1.7 Suggest TWO ways in which the family can reduce their expenses. (2)

4.1.8 Why is it a good idea to include savings in a budget? (2)

4.2 Lindiwe saves R150 every month.

4.2.1 How much will she have saved after one year? (2)

4.2.2 She deposits this amount in a savings account that pays 6% simple interest per year. Calculate the interest she will earn in one year. (2)

4.2.3 Give TWO reasons why people save money. (2)

4.2.4 Give TWO advantages of saving money in a bank rather than in a money box at home. (2)

4.3 Classify each item as INCOME or an EXPENSE for a household: (a) salary; (b) water bill; (c) rent received for a backyard room; (d) interest earned on savings; (e) new school uniform; (f) insurance premium. (6)

[30]

SECTION D: ENTREPRENEURSHIP

QUESTION 5

5.1 What is an entrepreneur? (2)

5.2 Give TWO characteristics (qualities) of a successful entrepreneur. (2)

5.3 A Grade 7 group plans to sell muffins on Entrepreneur's Day. Their costs are: ingredients for 48 muffins R240, paper packets R48 and posters R30.

5.3.1 Give TWO ways in which the group can do market research before the day. (2)

5.3.2 Calculate the total cost. (2)

5.3.3 Calculate the cost of making ONE muffin. Round off to the nearest cent. (2)

5.3.4 They sell all 48 muffins at R10 each. Calculate (a) their total income and (b) their profit. (3)

5.3.5 Give TWO ways in which they can advertise their muffins at school. (2)

5.3.6 Give TWO hygiene rules they must follow when they sell food. (2)

5.4 Give an example from the muffin business of each factor of production: (a) natural resources; (b) labour; (c) capital; (d) entrepreneurship. (4)

5.5 Explain the difference between a business that sells a product and a business that sells a service. Give ONE example of each. (2)

5.6 Give TWO reasons why some small businesses fail. (2)

[25]

TOTAL: 100

END OF QUESTION PAPER